LONDON METROPOLITAN UNIVERSITY

International Business Strategy with Simulation

Introduction to the Strategy Process

STUTI PRADHANANGA
Islington College

Learning objectives for today

- What is strategy?
- Why do we need it?
- Where does it happen?
- How do we choose strategy?
- How does strategy actually develop in reality?

Scan Me

History lessons…

- "If you are ignorant of both your enemy and yourself, then you are a fool and certain to be defeated in every battle"
  - "If you know yourself, but not your enemy, for every battle won, you will suffer a loss"
  - "If you know your enemy and yourself, you will win every battle"

Six Lenses of Strategic Thought

Strategy is not just one idea. Different thinkers emphasize different aspects depending on the lens they use.

A. Chandler

Strategy drives structure. The organization must change shape to fit the plan.

I. Ansoff

Rational planning. Focus on formal planning and growth.

E. Penrose

Theory of the firm. Firms differ because resources differ.

M. Porter

Industry analysis. Performance depends on industry structure.

G. Hamel

Strategy as revolution. Breaking rules, innovation, and disruption.

K. Weick

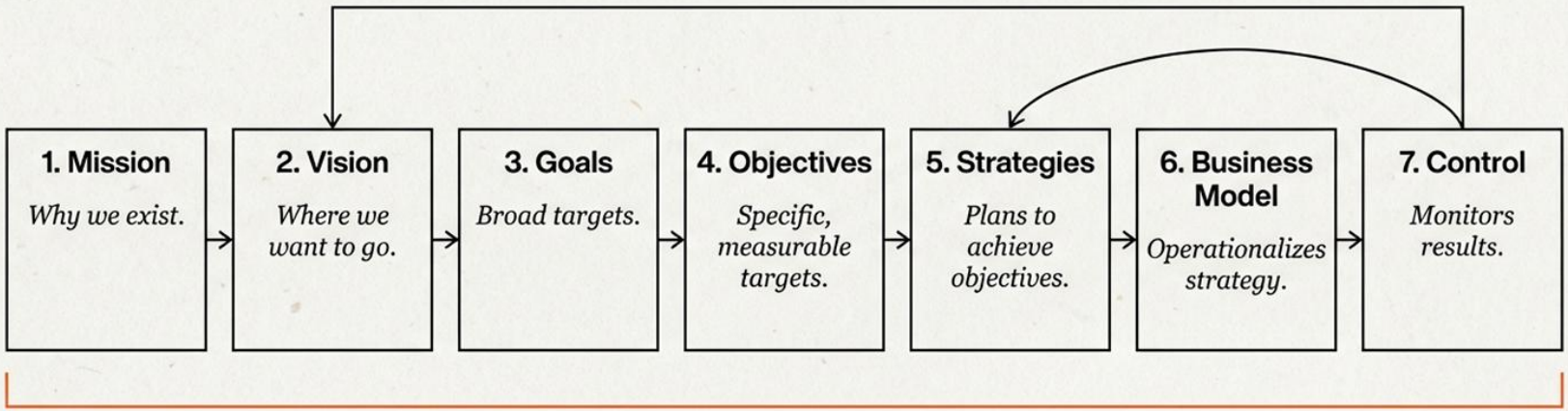
Strategy as sensemaking. Giving meaning to the chaos.

What is Strategy?

Vocabulary of Strategy

Term	Definition	Example
Mission		
Vision/strategic intent		
Goal		
Objective		
Strategies		
Business model		
Control		

The Chain of Connection: From Purpose to Control



Strategy is the path connecting all of these elements.

Vocabulary of Strategy: Running a marathon

Term	Definition	Example
Mission	Why I exist/ Why am i doing this	To live a healthy and fit life
Vision/strategic intent	Desired future state: Where i want to reach	To Run a fun marathon
Goal	General statement of aim or purpose; broad outcomes; what succcess means	Lose weight, strengthen muscles; improve endurance
Objective	Conversion of goals into measurable and concrete performance targets	Lose 5 kilos by 1 sept, run marathon
Strategies	Long-term direction and steps to take; how Will I achieve it? Choices and prioritizations	Exercise regularly, compete in shorter races before the marathon
Business model	Execution logic; it explains how strategy is enabled	Associate with network (join running club)
Control	Monitoring to assess effectiveness and modify as necessary; feedback and adjustment (am i on track)	Monitor weight, heartbeat, kilometres run and times. If not ok, other strategies

Operationalizing the Vocabulary

The Marathon Analogy

The Corporate Term	The Marathon Example
Mission: Why we exist.	To live a healthy and fit life.
Vision: Desired future state.	To run a fun marathon.
Goal: Broad targets.	Lose weight, strengthen muscles, improve endurance.
Objective: Specific targets.	Lose 5kg by Sept 1st; Run the marathon.
Strategy: The Plan.	Exercise regularly; compete in shorter races first.
Business Model: Execution logic.	Join a running club; systematic training.
Control: Monitoring.	Monitor heart rate, km run. Adjust diet if needed.

I want to live a healthy and fit life (mission), which inspires me to aim for running a marathon (vision). To achieve this, I focus on losing weight and building strength (goals), with a clear target of losing 5 kg by September 1 (objective). I choose regular training and smaller races as my approach (strategy), supported by joining a running club for motivation and discipline (business model), and I track my performance using health and fitness metrics to stay on course (control).

A strategy is...

- **“the set of actions through which an organization, by accident or design, develops resources and uses them to deliver services or products in a way which its users find valuable, while meeting the financial and other objectives and constraints imposed by key stakeholders”**

- Most successful strategies give an organization:
  - some property that is unique, or at least rare
  - the means for renewing its **competitive advantage** as the environment changes.

The Nature of Strategic Decisions

1. BIG

Involves substantial change for a substantial part of the organization.

2. LONG

Operates on a long timescale (3–5 years).

3. COMMITMENT

Irreversible allocation of resources.

4. TRADE-OFFS

You cannot please everyone. Strategy is the deliberate choice of what NOT to do.

Why do we need it?

Why do organizations need strategy?

- ✓ To agree a common purpose
- ✓ To give a sense of direction
- ✓ To allocate resources
- ✓ To measure performance
- ✓ To satisfy stakeholders

Strategy is not about forecasting the future and its attendant pressures, rather it is about understanding the future implications of today's decisions.

— Peter Drucker

Where to compete?

1. Porter's Competitive Strategy Framework:

Choosing your battlefield

		Competitive advantage	
		Lower cost	Differentiation
Competitive scope	Broad Target	**1. Cost leadership**	**2. Differentiation**
	Niche	**3A. Cost focus**	**3B. Differentiation focus**

Source: Porter (1985), "Competitive advantage"

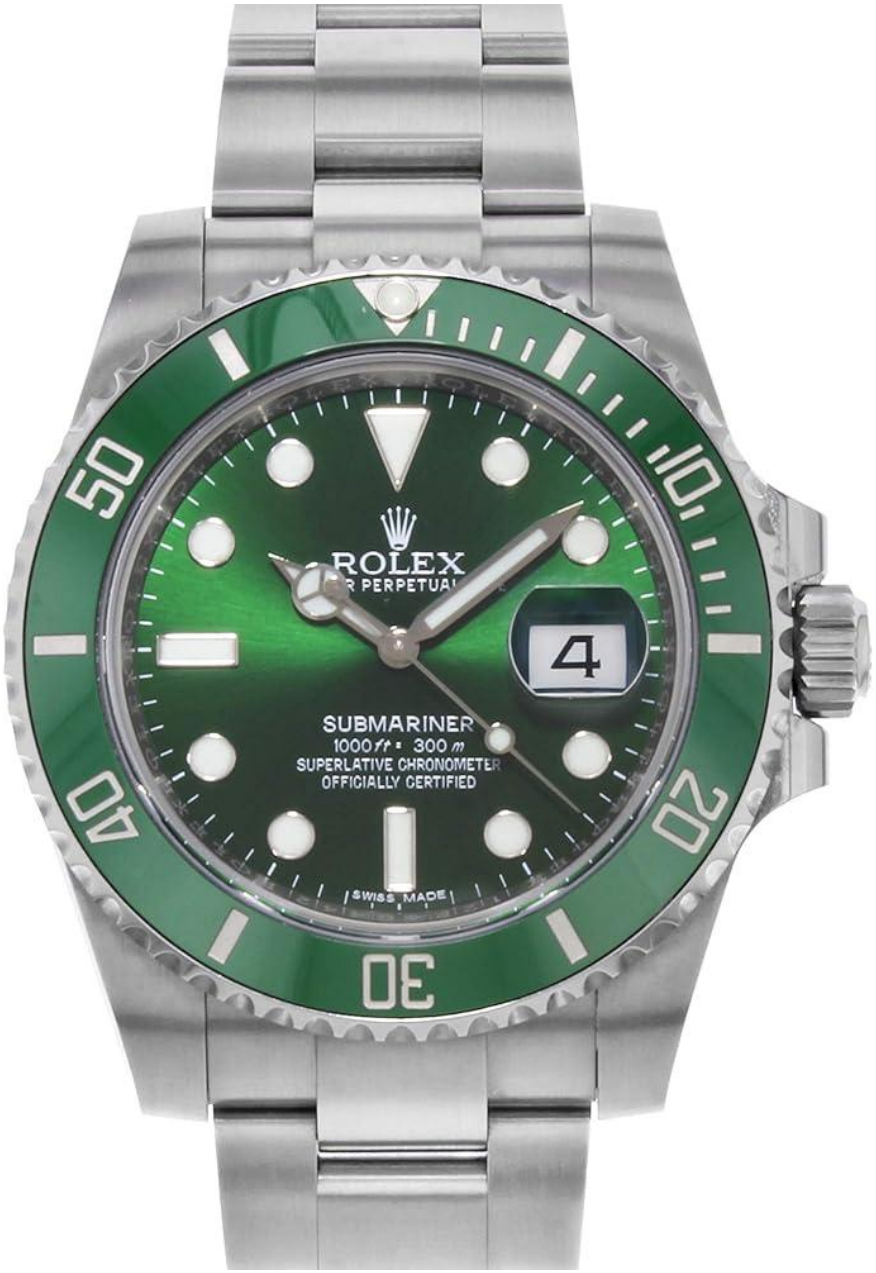
150
Walmart

HIMALAYAN JAVA COFFEE
Managed by: Proactive Business centre Pvt. Ltd

WELCOME
TO
GREAT
SHOPPING
EXPERIENCE
BHAT-BHATENI

STARBUCKS
COFFEE

ROLLS-ROYCE
MOTOR CARS
WRAITH


ROLEX
SUBMARINER
1000 ft = 300 m
SUPERLATIVE CHRONOMETER
OFFICIALLY CERTIFIED
SWISS MADE
50
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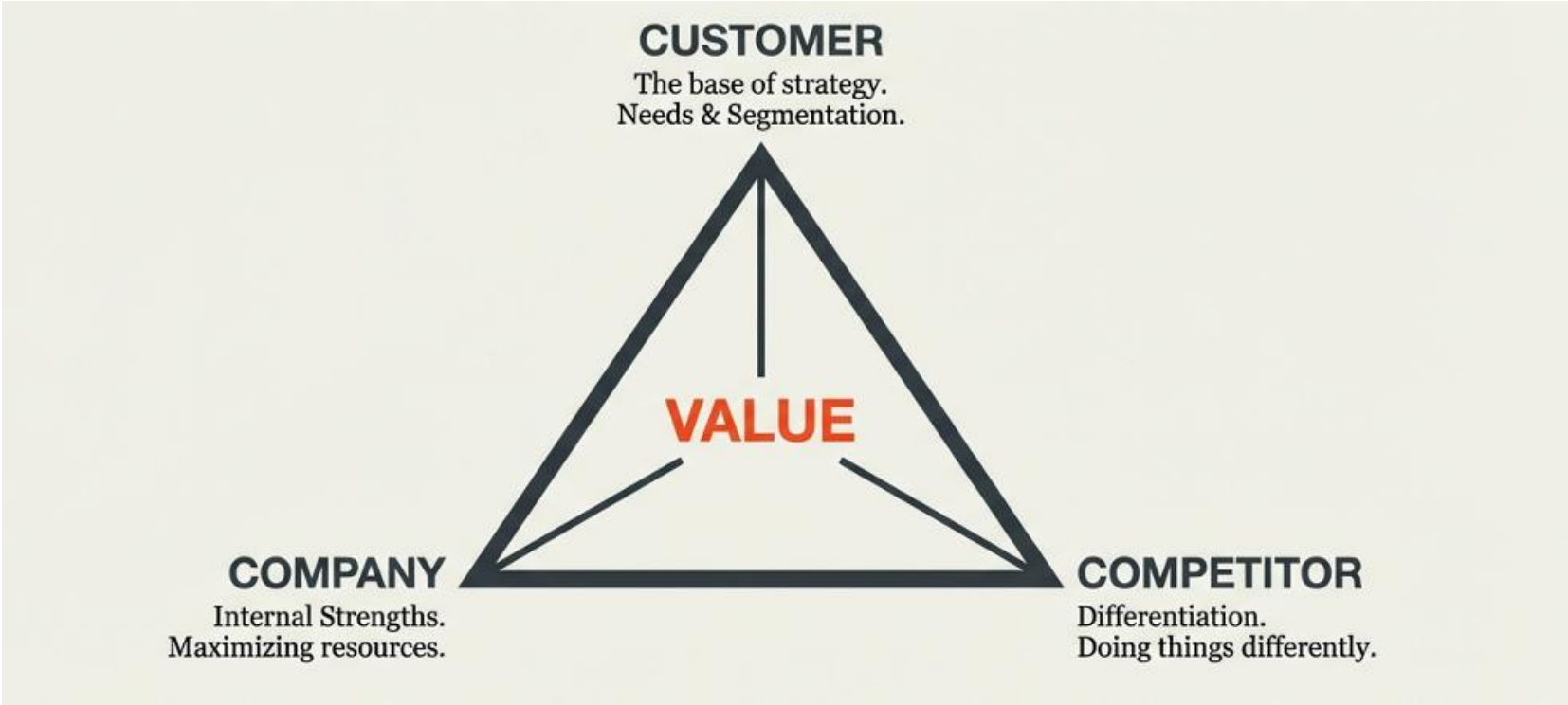
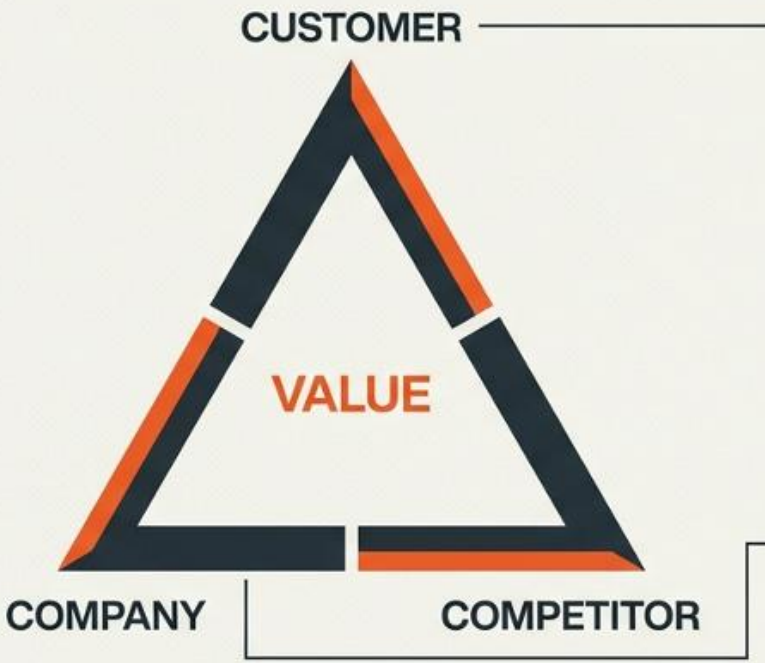
1
2

2. Ohmae's Strategic Triangle (The 3Cs of strategic success): Strategy for Competitive Advantage



Source: Ohmae, (1983), 3 C's

Case Study: Ncell's 'Sadhain ON' Strategy



CUSTOMER (The Pain Point):

- **Issue:** 'Bill Shock' from data overuse draining main balance.
- **Solution:** Internet stops when data ends. Rollover data. Unlimited Night Data.

COMPETITOR (Differentiation):

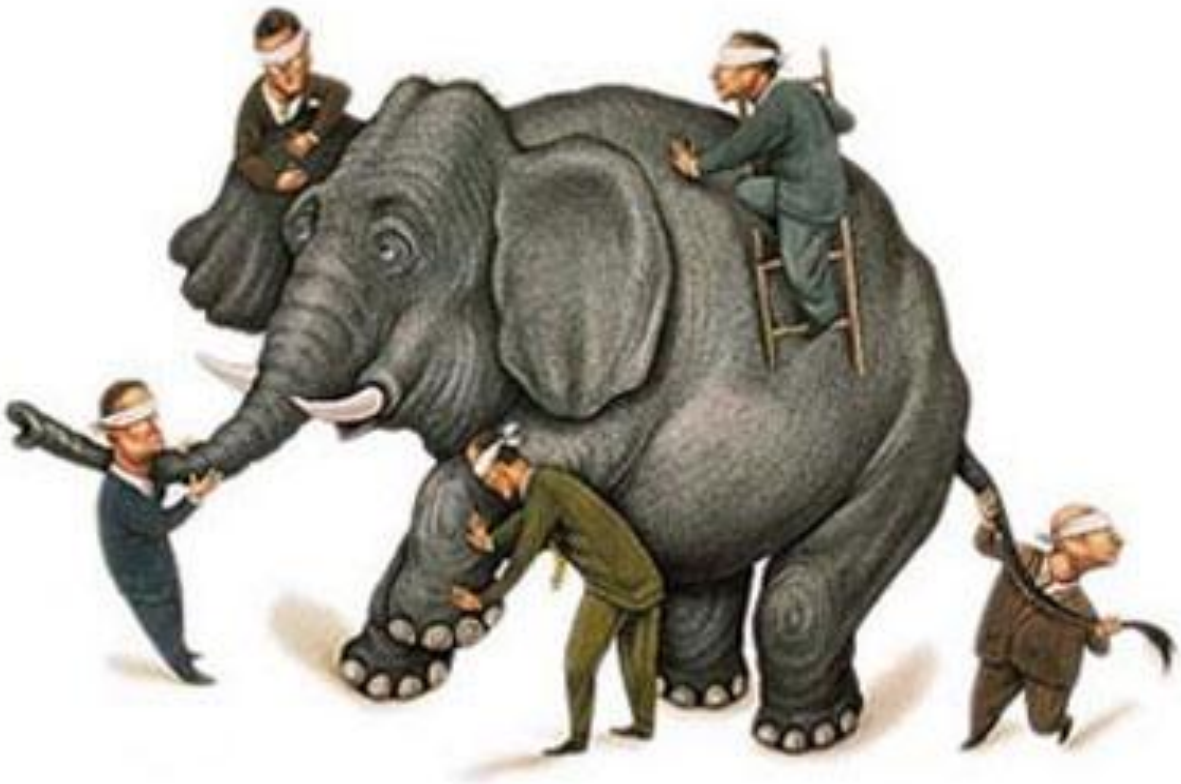
- **NTC (Rival):** Basic utility provider.
- **Ncell Position:** Premium 'Lifestyle' brand.
- **Tactic:** Bundling visuals (Lionsgate Play) to increase switching costs.

COMPANY (Resource Optimization):

- **Goal:** Predictable revenue via 30-day packs.
- **Infrastructure:** Prepare user base for 'Always ON' 5G future.

Different ways to view strategy (Strategy Lenses)

Different ways of viewing strategy

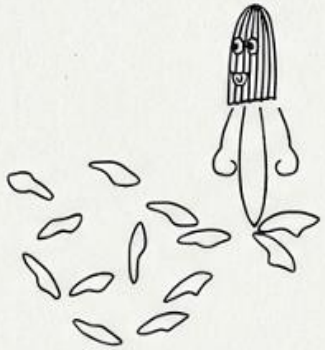


Mintzberg et al (2008) Strategy Safari

Mintzberg's 5 Ps: Moving Beyond the 'Plan'

PLAN

A conscious means of getting from here to there.



PATTERN

Consistency in behavior over time (Realized Strategy)

PLOY

A maneuver intended to outwit a competitor.

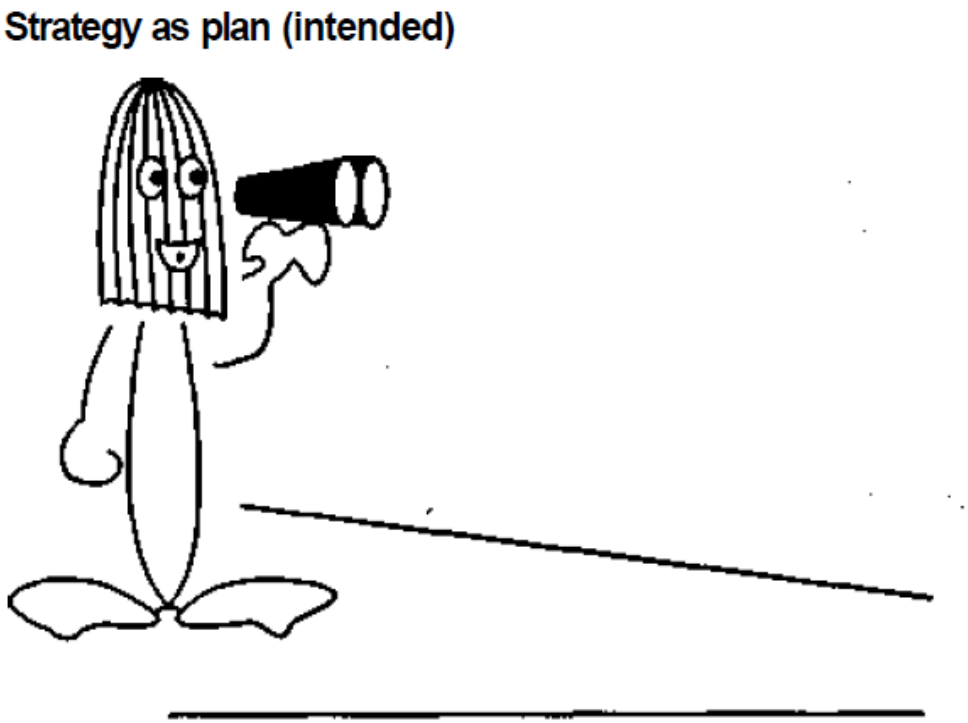
POSITION

Locating the organization in the environment.

PERSPECTIVE

An ingrained way of perceiving the world.

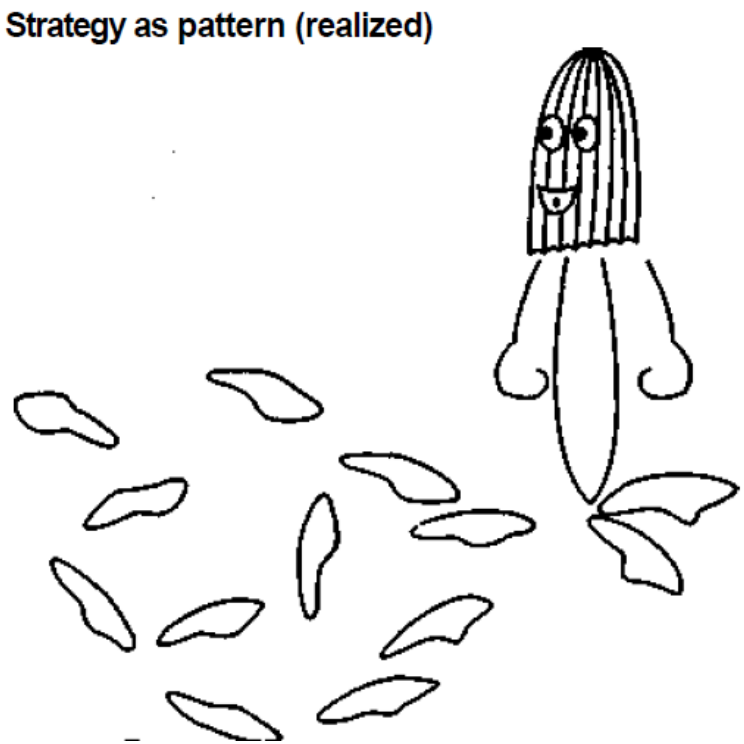
Strategy according to H. Mintzberg



Plan: the "how"… a means of getting from here to there

Source: Mintzberg, "*Strategy Safari*", 2008

Strategy according to H. Mintzberg



Pattern: consistency of behavior over time that results in a pattern of actions; what the company does consistently and evolve patterns out of their past.

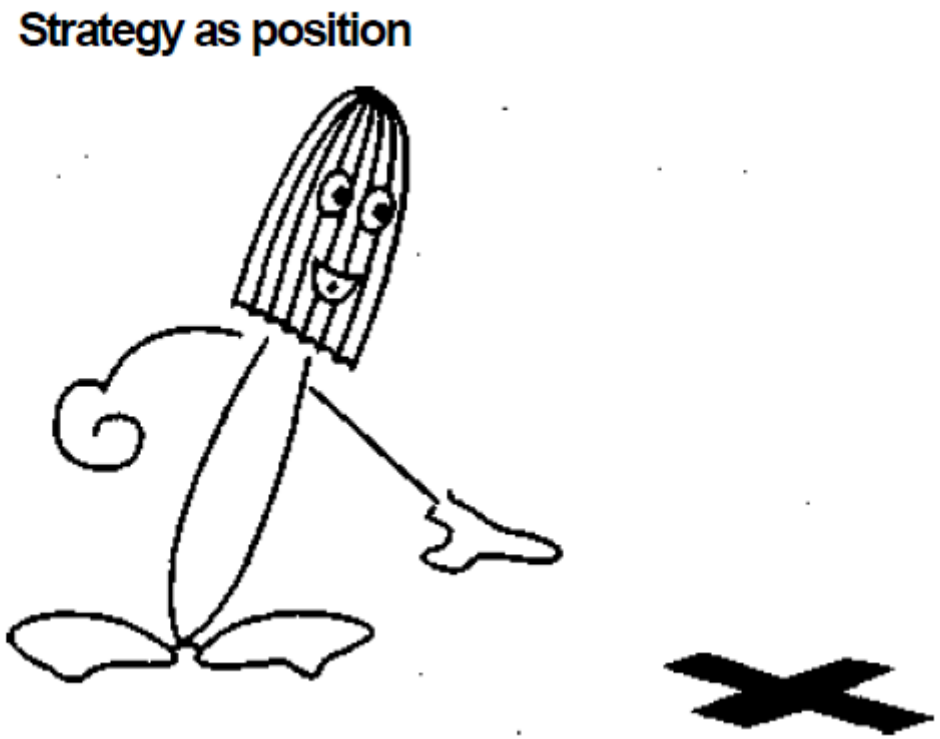
Source: Mintzberg, "*Strategy Safari*", 2008

Strategy according to H. Mintzberg

Ploy: a specific *manoeuvre* intended to outwit an opponent or competitor

Source: Mintzberg, "*Strategy Safari*", 2008

Strategy according to H. Mintzberg



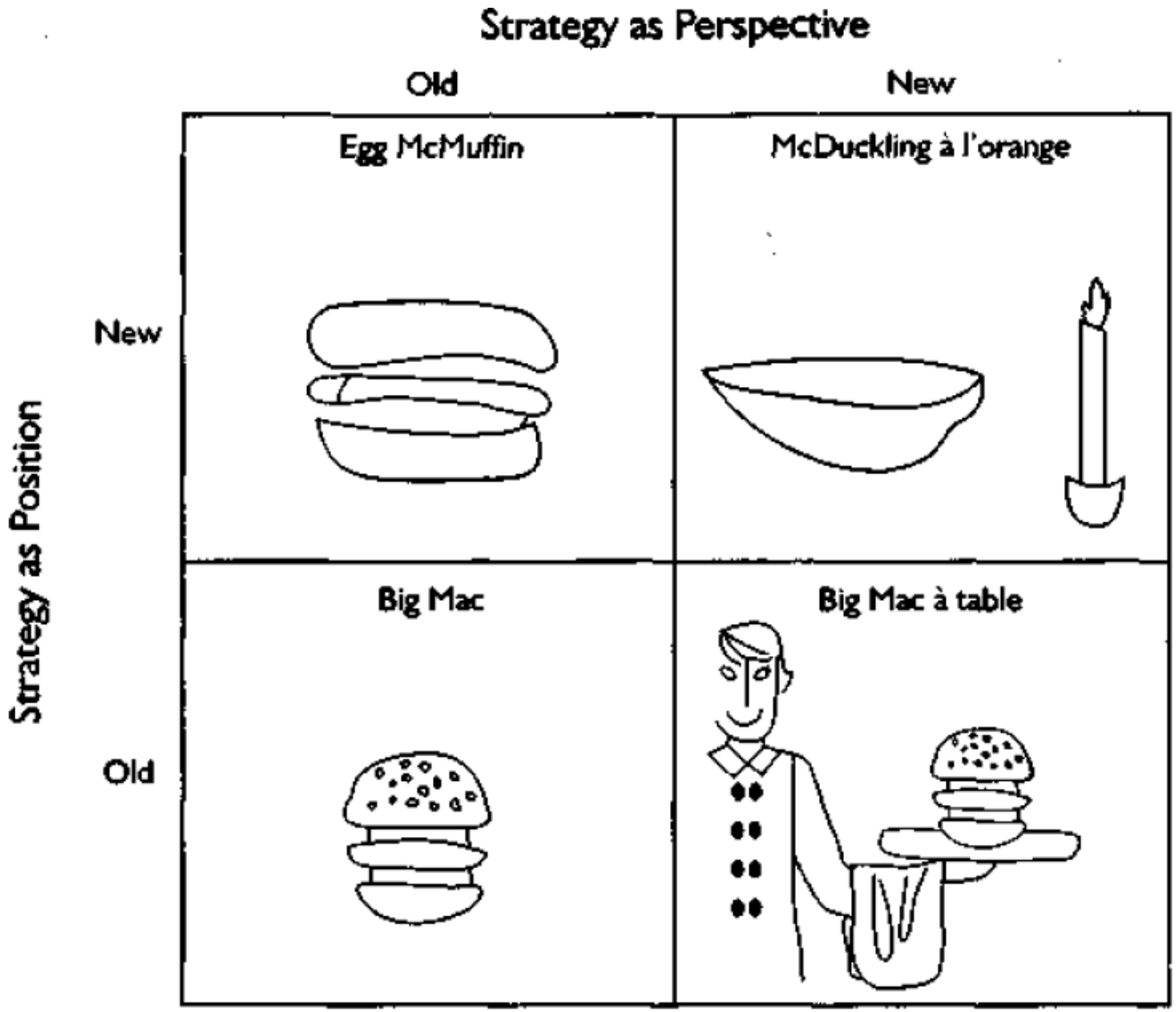
Position: choices about how a company and it's offerings are positioned in the market place

Source: Mintzberg, "*Strategy Safari*", 2008

Strategy according to H. Mintzberg

Perspective: A way of seeing the world

Source: Mintzberg, "*Strategy Safari*", 2008

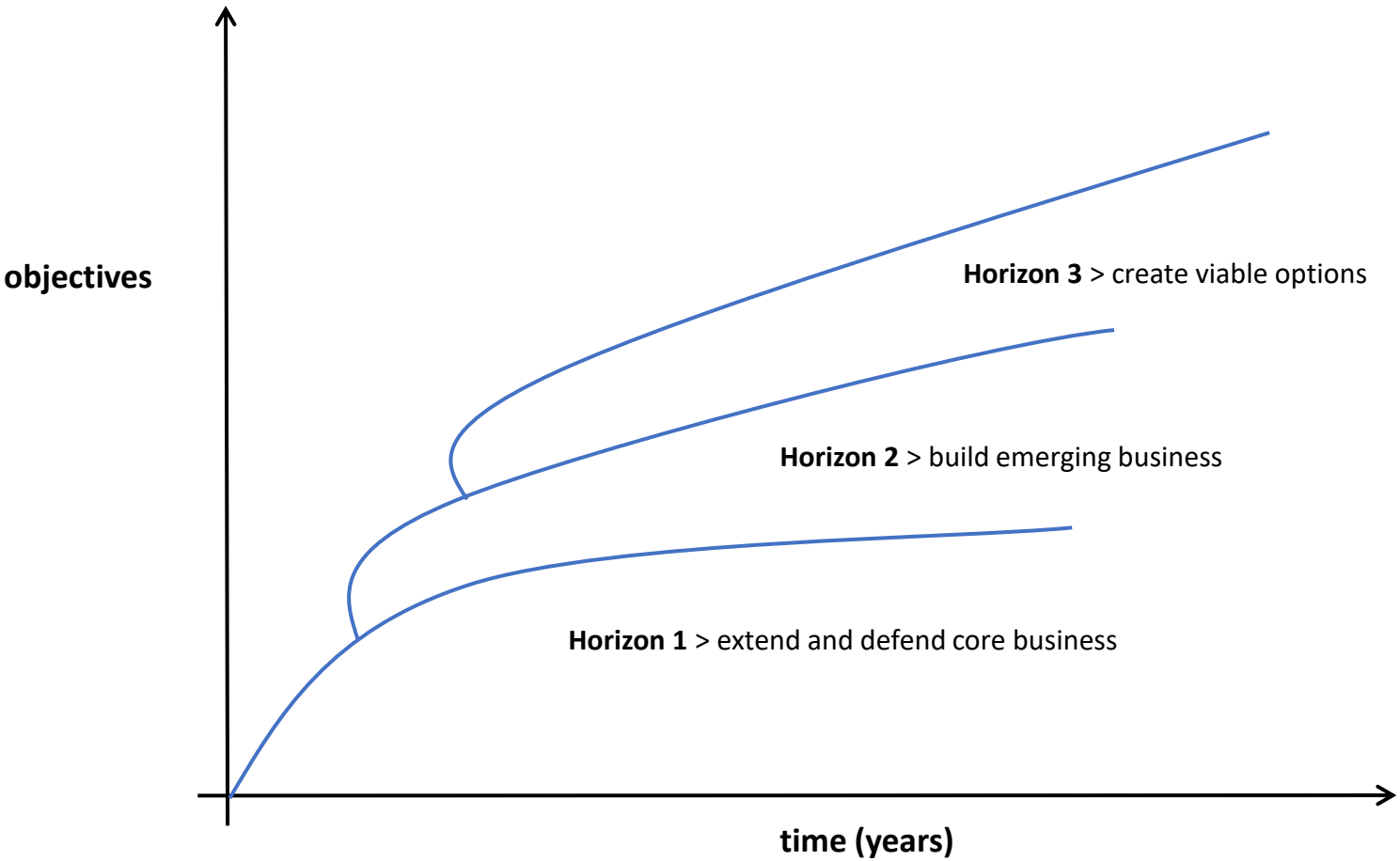


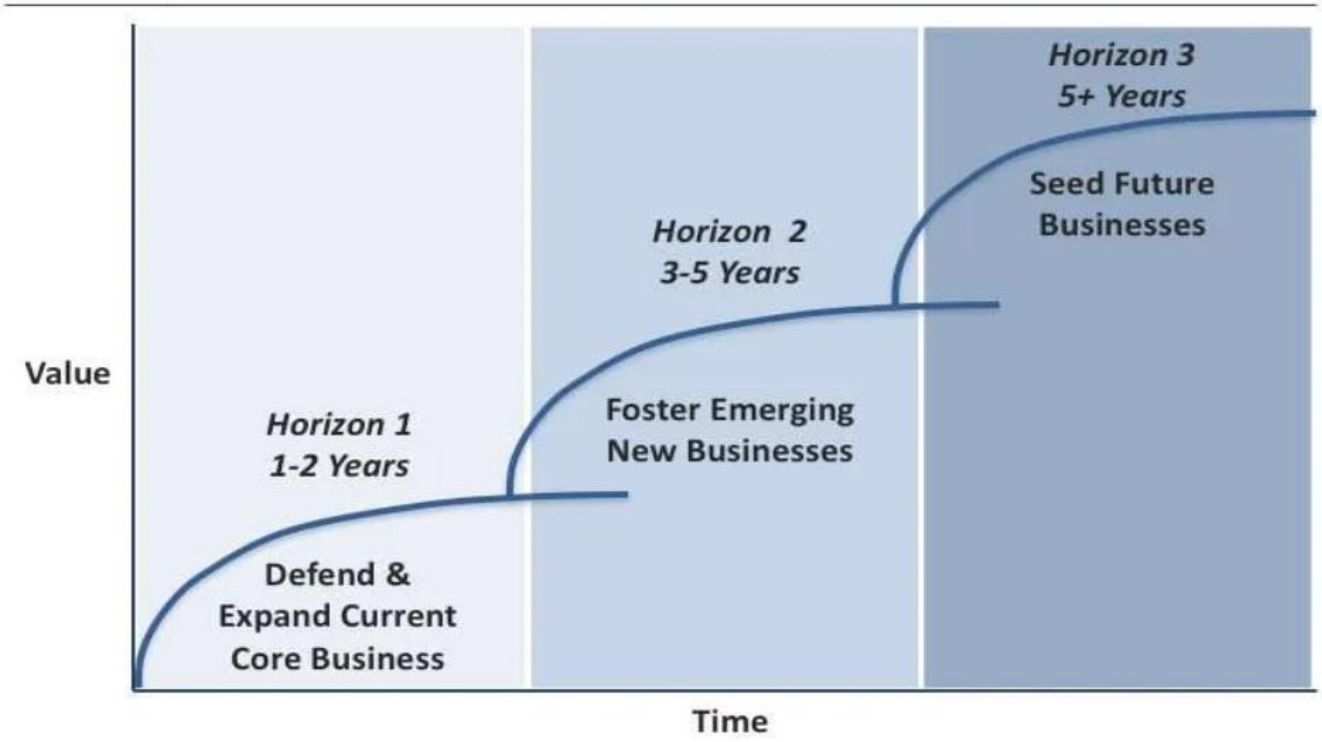
Source: Mintzberg, "*Strategy Safari*", 2008

Managing Strategy Over Time: Time Horizon Framework

Three horizons for strategy: The McKinsey Framework

Firms must manage today, tomorrow, future





	Horizon 1 [Core Business]	Horizon 2 [Emerging Growth]	Horizon 3 [Future Bets]
	Defend and Optimize	New but proven initiatives; has the potential to become next core business	Explore & Experiment, Many projects may fail but few can transform the company.
Google	Search engine, Advertising	Google cloud platforms, google workspace	Waymo, Advanced AI, Google Life Science and Health Tech (Verily) aging research, disease detection, biotech
Apple	iPhone, Macbooks, iPads	Services and Wearables	Mixed Reality (Vision Pro); Health tech (AI Diagnostics)

Levels of Strategy: Where does strategy operate?

The Levels of Strategy

Corporate Strategy

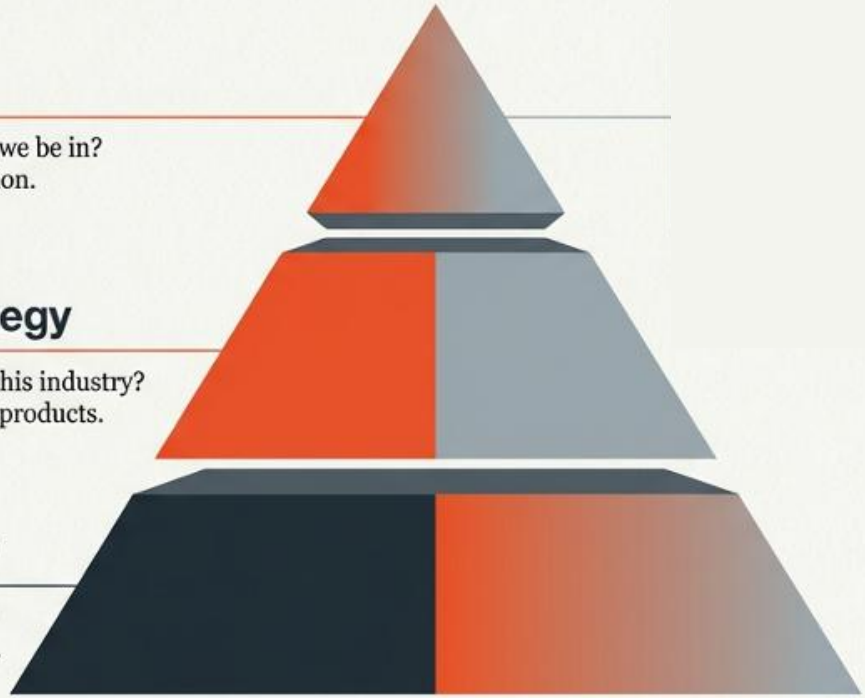
- **Question:** What industries should we be in?
- **Focus:** Portfolio, Resource Allocation.

SBU / Business Strategy

- **Question:** How do we compete in this industry?
- **Focus:** Market opportunities, new products.

Operational Strategy

- **Question:** How do we implement?
- **Focus:** Processes, people, logistics.



Levels of Strategy (1)

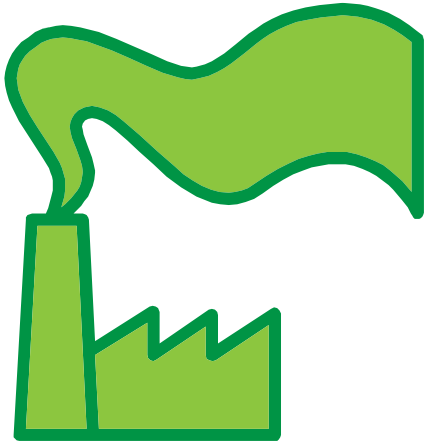
Corporate Level strategic decisions are concerned with "*what industries should we be in*?"

- Overall purpose and scope of business
- Portfolio issues to add long term value to shareholders' investment
- Resource allocation between SBUs
- Structure and control of SBUs
- Corporate financial strategy

Levels of Strategy (2)

Strategic Business Unit (SBU) level strategy is concerned with "*how do we compete in the industries we are in*?"

- Competitive strategy
- Developing market opportunities
- Developing new products/services
- Resource allocation within the SBU
- Structure and control of the SBU



How Strategy Develops? (Process View)

Processes of Strategy Development

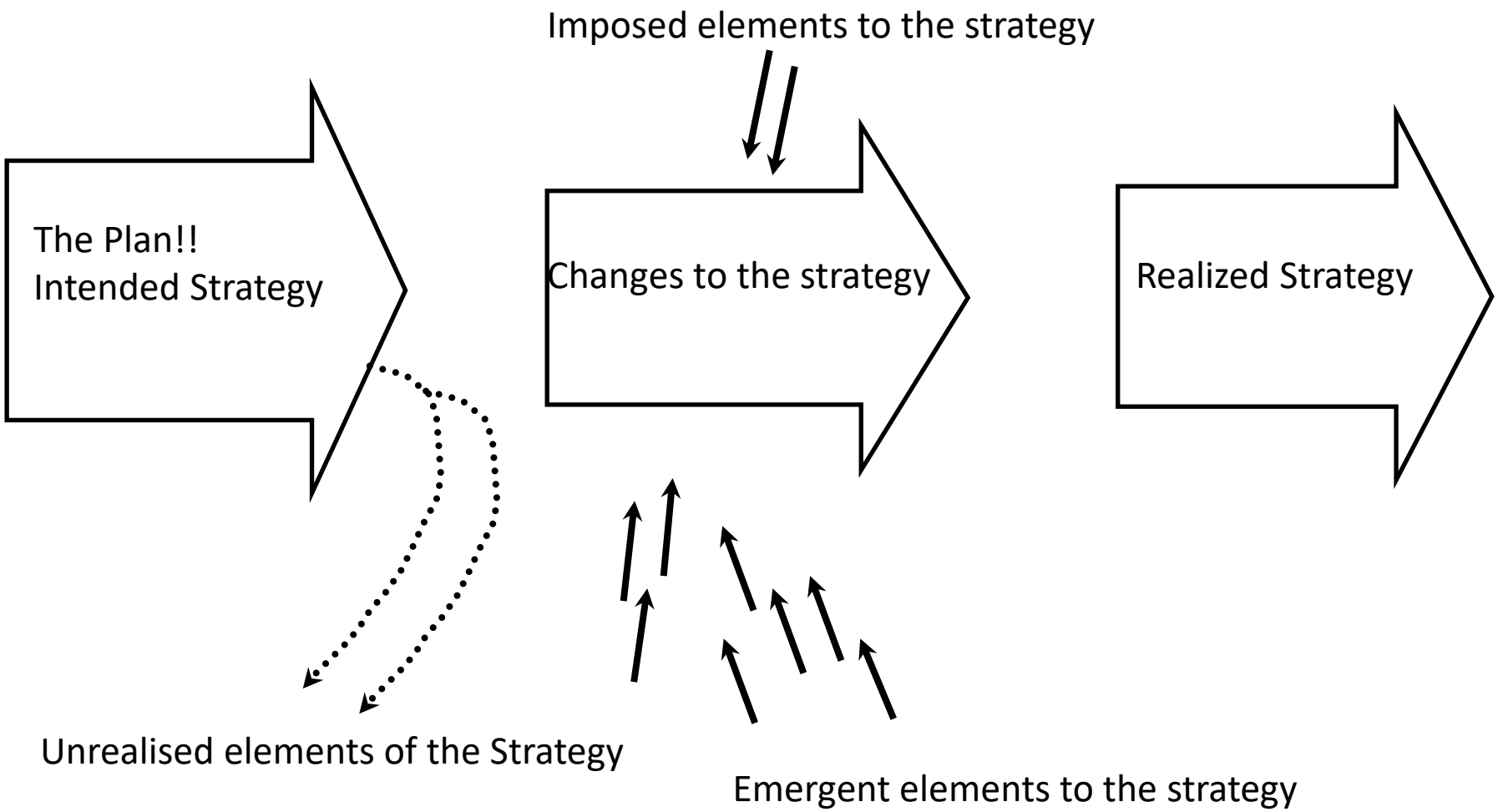
- **Intended strategies: What you planned**
  - Deliberate management intent
  - Formal Strategic planning systems
  - Strategy workshops and project groups
  - The role of strategy consultants
  - Externally imposed strategy (Government regulation, parent company directive, investor pressure etc.)

- **Emergent strategies :What evolved through experience**
  - Out of social & political processes in & around organizations
  - Logical incrementalism (firms move step by step, instead of one big master plan)
  - Resource allocation routines (budget behavior)
  - Cultural processes (if culture is risk averse, they won't pursue bold moves)
  - Organizational politics (internal power struggles)

- **Realized strategies: What actually happened**
  - Most realized strategies are a combination of both processes (Mintzberg)

The strategy development process

(Mintzberg & Walters, 1985)



Summary: The Strategic Framework

WHY?

To give direction, agree on purpose, and satisfy stakeholders.

WHAT?

A mix of intended plans and emergent patterns that create unique value.

WHERE?

Across three horizons (Core, Growth, Future) and three levels (Corporate, SBU, Operational).

HOW?

Leveraging frameworks like Porter's Generic Strategies and Ohmae's 3Cs to build advantage.